

greater volume of providers and consumers increases the value of the platform over time.

However, are these factors enough to gain traction over Reddit, Facebook, and Uber over the long term? The innovative investor should perform similar thought experiments with any cryptoasset under consideration and be convinced that its associated architecture will provide long-term value and isn't simply riding a hype-wave⁷ with the intent of gaining funding while providing little value over time.

THE POWER OF AGE: THE LINDY EFFECT

The *Lindy effect* is often used to gauge the potential life expectancy of technologies. Unlike humans, where the longer someone lives, the more likely that death is approaching, the longer technologies live, the less likely they are to die soon. The reason is that technologies build momentum, and over time many other technologies are built around them, which continues to drive underlying support. The most important technologies become intractable to our daily lives, or at least sticky on a decadal scale. Even culturally, it will take time for the technology to fade deep into obsolescence.

The same applies to cryptoassets. The longest-lived cryptoasset, bitcoin, now has an entire ecosystem of hardware, software developers, companies, and users built around it. Essentially, it has created its own economy, and while a superior cryptocurrency could slowly gain share, it